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State of Colorado)
County of San Miguel) ss

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Gay Capps-Recorder
by *Kathleen G. Full* Deputy

CONTRACT REGARDING BACKMAN VILLAGE SUBDIVISION

THIS CONTRACT is by and between the Town of Telluride, a home rule body politic, hereinafter referred to as "the Town", and The Telluride Company, a Colorado Corporation, hereinafter referred to as "Telco".

WHEREAS, Telco is the owner of several platted blocks of land within the west addition to the Town currently zoned for commercial use; and

WHEREAS, the land is currently without dedicated public access and public thoroughfares; and

WHEREAS, because of the commercial zoning status and proximity to the ski lift and ski runs provided by Telco, there is resultant heavy public use; and

WHEREAS, Telco and the Town agree as to the necessity of providing and dedicating public rights of way, easements and other means of integrating said land to the remaining scheme of land within the municipal limits of the Town; and

WHEREAS, Telco and the Town agree that the public health, safety and welfare can best be served in the public interest by this overall plan for development of said land as reflected by this Contract; and

WHEREAS, the Town by virtue of the Municipal Annexation Act could have imposed terms and conditions upon the land to be annexed; and

WHEREAS, Telco desired unconditional annexation in order that comprehensive terms and conditions governing the land to be annexed could be contained in the same contract governing land adjacent to the annexed land; and

WHEREAS, both parties herein desire to execute a contract specifically defining the rights and obligations of each, all in conformity with ordinances of the Town and the Municipal Annexation Act of the State of Colorado;

NOW, THEREFORE, THE TOWN OF TELLURIDE AND TELCO AGREE AS FOLLOWS:

I. GENERAL PROVISIONS:

A. The plats entitled Backman Village Subdivision, Town of Telluride, consisting of 6 sheets number 1 through 6/A and B are hereby incorporated as part of this contract and shall hereinafter be referred to by the appropriate sheet number of the plat when referenced throughout this contract, and which plat makes reference to certain covenants which hereinafter shall be referenced to as the "Covenants".

B. The Town of Telluride recognizes that the present parcel of land, as depicted on the "Plat" together with the presently vacated streets and alleys consisting of 18 acres more or less, situated at the base of the Coonskin Ski Lift, is crucial to the orderly development of the Town. The Town further recognizes that the process herein was begun by the sale of the tract of land commonly known as the Old Dump Site (depicted as lot 48B on page 2 of the Plat) to Telco and that this contract is a cumulation of that beginning and an assurance of orderly and planned growth for the future.

C. The Town and Telco recognize that the plan as specified herein is within and less than the highest allowable density and zoning presently in effect for the area. The parties also recognize that this plan is cognizant of the needs of the area by decreasing density and potential commercial uses adjacent to Highway 145 and placing them towards the toe of the mountain which will best serve public interest and has been given approval at the staff level by the Town Government, Planning and Zoning Commission, and the Town Council, all of the Town of Telluride.

D. The parties recognize that presently the tracts of land delineated on page 2, Phases A and B of the Plat are not within the municipal limits of the Town of Telluride but are immediately adjacent thereto. The parties agree that these extra-territorial portions of the land shall be annexed to the Town pursuant to an unconditional Annexation Ordinance. An annexation petition requesting annexation of such land has been filed in accordance with the Municipal Annexation Act of 1965, of the State of Colorado. The Town and Telco recognize that this Contract shall insure that such land proposed to be annexed shall not exceed the constraints of the Town's existing commercial zoning regulations, the Protective Covenants, and Plat restrictions for land immediately adjacent thereto and shall be in harmony with the actual character and usage of such adjacent land currently within the municipal limits of the Town.

E. The parties understand and agree that all terms and conditions obligating the Town and Telco and where they may inure to the benefit of either are specifically enforceable and in an appropriate court of law by the Town, Telco, or either party's assigns that may be aggrieved.

II. PUBLIC RIGHTS OF WAY AND EASEMENTS:

A. The area currently within the Municipal limits of the Town of Telluride shall be replatted, subdivided, and planned, and portions of such land dedicated to the Town of Telluride, as set forth and depicted on the Plat as follows:

1. The North-South road depicted as Mahoney Drive on the Plat shall be dedicated to the Town of Telluride. Telco shall construct Mahoney Drive to current Town standards, and may otherwise landscape said road. Telco shall finish the road by improving thereon a two inch (2") hot laid asphalt surface, or a comparatively priced alternative surfacing as approved by the Town. Mahoney Drive shall be paved to a width of thirty-four (34) feet.

a. The Town agrees after such construction to accept Mahoney Drive for dedication and to maintain the depicted road in a manner and fashion consistent with its maintenance obligations and policies in effect for other similar Town streets. The Town, after dedication, may grant to Telco the right to control traffic and devise means therefor to insure the proper safety and traffic control considerations needed to integrate the use of Mahoney Drive with the Telluride Ski Area operations in the region.

b. The Town agrees that in the event that further burden or use is placed on such road by development and use from parcels of land currently not within the municipal limits of the Town and not included in the lands proposed to be annexed pursuant to this Contract, that before any such additional burden is placed on such road that such adjacent landowners or developers, with the exception of the Town of Telluride and Simonius, Vischer & Co., its successors and assigns, shall reimburse Telco for one-half ($\frac{1}{2}$) of the value of the land and one-half ($\frac{1}{2}$) of its costs in constructing Mahoney Drive. Land value shall be computed at sales price per square foot of parcels located immediately east of Mahoney Drive, by Appriaser retained by the Town, such value to be determined as of six (6) months after approval of this subdivision, such appraisal shall be paid by Telco.

2. The twenty (20) foot in width strip of land depicted as Tract "H" on sheet 2 on the Plat shall be conveyed to The Telluride Lodge Association. Such conveyance shall be subject to easements for a non-exclusive fire lane, pedestrian right of way, and public transportation right of way. Telco shall construct a twelve (12) foot wide gravel road through Tract "H". In any case Telco and its successors in interest reserve the right to extend sub-surface utilities through Tract "H".

3. The east-west road depicted as "West Pacific Avenue" shall be

dedicated to the Town of Telluride as shown on the Plat and as set forth herein. West Pacific Avenue is and shall be a multiple use right of way with all uses and burdens set forth herein to be given equal priority and integrity.

a. The Town, after accepting West Pacific Avenue for dedication, shall grant to Telco uses emanating from its operation of recreational facilities in the area including general tourist accomodation as well as actual ski recreation and its attendant demands. These uses may include but shall not be limited to pedestrian walk areas, crosscuts for future bridges as needed, rights of way for construction machinery, uses for ski area maintenance and repair, heavy equipment use, emergency vehicle use, no-parking regulations, and such other demands and uses which may arise from time to time. The Town and Telco recognize the non-exclusive right of way granted to The Telluride Lodge Association as recorded in Book 368 at Page 621-624. Telco's rights and powers may be implemented by the Town granting to Telco the right to mandate and devise such parking and traffic flow controls and measures which in the discretion of Telco and with approval of the Town may be necessary from time to time to insure the safe and efficient operation of the area, but in no way shall these rights and powers affect the easement of the Telluride Lodge Association.

b. West Pacific Avenue shall among other uses be reserved for general public transportation uses including a surface right of way of such dimensions as may be necessary to conform to any regulations for safety, actual useage or as may be generally required. This right of way shall be available to Telco if Telco shall first implement a surface rail system in the region.

c. Telco shall construct West Pacific Avenue to current Town standards. Telco shall complete construction on West Pacific Avenue by applying thereon a two (2) inch hot laid asphalt surface twenty-four (24) feet in width, or a comparably priced alternative surface approved by the Town. A drainage gutter shall be constructed along the southern boundary of such roadway. Telco shall landscape West Pacific Avenue in such a manner and fashion that in the judgment of Telco and the appropriate Town Boards and Commissions is fitting and aesthetically pleasing to the surrounding area and the actual uses of such Avenue, such landscaping may include but shall not be limited to the placing of trees and other vegetation, benches, and larger rest stops on the road, lighting, dividing fences, directional registry and informational signs, all pursuant to Town ordinances. The Town after construction shall accept West Pacific Avenue for dedication and shall maintain such Avenue in the manner and fashion consistent with its maintenance obligations and policies in effect for other similar Town streets.

d. Parties agree that the portions of West Pacific Avenue running in an easterly direction from South Tomboy Street to the point of intersection immediately south of Davis Street shall be subject to a six (6) month option by the Town running from April 15, 1979, to reroute such portion of West Pacific Avenue to intersect with the alley running in an East-West direction between Pacific Street and the Depot property, and which more specifically runs on the northern boundary of the real property known as "The Depot" property. The parties agree that this portion of West Pacific Avenue shall be accepted as depicted on the Plat, but shall be subject to the option of the Town to reroute this section within the six (6) month period and in such instance the Town and Telco shall amend the Plat to show the new alternative routing to that portion of West Pacific Street. The parties also understand and agree that where West Pacific Avenue intersects the land immediately adjacent to the west of South Davis Street that the real property necessary to complete West Pacific Avenue through private tracts of land shall be conveyed to the Town as set forth in the agreement attached hereto and made part hereof and which shall be referred to as "East-West Telco Agreement" and labeled as Appendix "1". The Town, Telco, and East-West agree that at such time as the Town makes its option final that the parties shall mutually convey to the Town the property necessary to insure the unencumbered right of way, and in the event the Town chooses the alternative right of way, the Town will vacate and quit claim to the appropriate parties the land comprising the original right of way.

4. The road depicted as South Tomboy Street which extends at its southermost point at an intersection with West Pacific Avenue and at its northermost point to the Colorado State Highway 145 all as shown on the Plat shall be dedicated to the Town of Telluride. Telco shall construct South Tomboy Street to current Town standards. The Town shall accept South Tomboy Street as a dedicated street and shall maintain such street in a manner and fashion consistent with the maintenance obligations and policies for other similar public streets.

5. Provision for other roadways as follows:

a. The roads depicted as West Prospect Avenue, West Smuggler Avenue, and Alta Circle shall be dedicated to the Town of Telluride. Telco shall construct such rights of way and roads to current standards and the Town of Telluride shall accept the dedication and maintain each in a manner and fashion consistent with the maintenance obligations and policies for other similar public streets, except that West Prospect Avenue and West Smuggler Avenue shall be

improved with two (2) inch hot laid asphalt surface, twenty-seven (27) feet in width or comparably priced alternative surfacing as approved by the Town.

b. The alley running in an easterly direction between West Prospect Avenue and West Smuggler Avenue shall be dedicated to the Town of Telluride and shall be constructed to current Town standards by Telco. The right of way extending from Tract "H" in a northerly direction to the point at which it intersects with West Prospect Avenue shall be constructed by Telco and dedicated to the Town of Telluride.

c. Tract "N" shall be dedicated to the Town as an extension of the South Davis Street right of way.

B. The lots and/or parcels of land as shown on the Plat which exists within the present limits of the Town of Telluride shall be accepted by the Town as a replat or subdivision. After such acceptance, Telco shall record the Plat with the County Clerk and Recorder, San Miguel County, Colorado, such Plat to be certified by a registered engineer, and registered land surveyor, and further cause to be recorded this Contract and the declaration of Covenants and thereafter the real property shall become an official replat of this land existing within the municipal limits of the Town of Telluride. In the event that this Contract and the Plat are not accepted by the Town on or before June 29, 1979 then Telco at its option may withdraw such plans, the declaration of Covenants and this Contract and the real property shall remain as presently depicted on the Town Plat.

C. The utilities, which shall be underground, as located and depicted on sheet 4 of the Plat, and which are incorporated herein are accepted by the Town as the "utility plan" for the area, but subject to revision by the State of Colorado Department of Highways. Wherever such sub-surface utilities are depicted on the Plat there is hereby created a sub-surface easement in the area or areas depicted on the Plat and appurtenant to such easement shall be the right of any appropriate party to install, maintain, and improve any such sub-surface utility. The Town main electrical transmission line need not be buried underground. If such Town main electrical transmission line must be moved, it shall be moved at the expense of Telco.

1. Telco shall install such utilities as set forth and denoted on sheet 4, phases A and B of the Plat and shall guarantee such installation by way of a pledge of security in the form of a certificate of deposit in the amount of Five

Hundred Thousand Dollars (\$500,000.00) and a deed of trust to Lot 36, all as set forth in the agreement between the Town and Telco entitled "Public Improvements Agreement". Such land shall be valued on the basis of \$7.00 per square foot. The specific terms and conditions of the security agreement shall be agreed upon and administered by the Town and Telco. The security shall be based on Telco's agreed and itemized estimate of the work to be performed, and the security shall be released on a phased basis as portions of installations are completed as determined by the Town. Telco shall have the right to freely substitute collateral so long as the proffered collateral has sufficient proven value as that for which it is being substituted and that in the opinion of the Town the security of the Town will in no way be diminished by such substitution.

2. The Town and Telco understand and agree that there is presently existing a Telco bond in the approximate amount of Twelve Thousand Dollars (\$12,000.00) to secure performance of certain utility installation in the area of Backman Village between South Tomboy Street and South Davis Street as depicted on the Backman Village replat of February, 1979. The parties agree that this Contract and all its parts are in complete substitution and revocation of that prior agreement between Telco and the Town. Therefore, upon acceptance of this Contract and the recording thereof, Telco and the Town shall mutually cause to be recorded or release of such prior arrangement. Upon the recording of such release the Town agrees to further release to Telco the existing bond and/or security which secures such rescinded Agreement.

3. In the event that any further burden and/or use is placed upon any utility as depicted on sheet 4, phases A and B of the Plat by development from landowners other than Telco, and Simonius, Vischer & Co., and its successors and assigns, such landowners shall reimburse Telco for a portion of Telco's original construction and material costs based on such landowners potential maximum use as a percentage of the total potential maximum use as determined by the Town.

D. Street Lights:

1. Telco agrees to purchase street lights from the Town before the Town's option for said street lights runs out and to install them at the points depicted on sheet 4, phases A and B of the Plat. After such installation and construction by Telco, the Town agrees to accept such street lights for dedication to itself and to maintain and operate the same in a manner and fashion that the Town maintains and operates street lights in other areas of the Town of Telluride. The base of said lights shall be of the same material and design

as the similar street lights that are currently installed on Colorado Avenue, Town of Telluride.

2. The Town agrees to sell to Telco twenty-four (24) street lights which are the same in manufacture and design as those presently installed on Colorado Avenue by the Town at a cost of Five Hundred and Five Dollars (\$505.00) per unit to Telco as actual cost to Town. Telco shall pay the purchase price when such amount is actually due and payable to the Town.

E. Sidewalks: Telco agrees to construct sidewalks along the rights of way set forth herein.

1. A five (5) foot sidewalk along the eastern boundary of Mahoney Drive unless otherwise agreed by the Town and Telco.

2. A five (5) foot sidewalk which shall extend on the south side only for the length of West Pacific Avenue, unless the Town and Telco agree that this sidewalk shall merge with the adjacent River Park, then the portion of the sidewalk along the West Pacific Avenue, running from South Tomboy Street to South Davis Street shall be constructed only after such time as the final placement of West Pacific Avenue is agreed upon with the Town.

3. Telco shall construct a five (5) foot sidewalk on South Tomboy Street on the south side as South Tomboy Street runs in an east-west direction and on the east side of South Tomboy Street as South Tomboy Street runs in a north-south direction, to the south of such east-west section.

4. Five (5) foot sidewalks on the north side of West Smuggler Avenue and south side of West Prospect Avenue.

F. River Park:

1. In the event that the Town accepts the appropriate parcels for annexation and if Telco consummates its contemplated exchange transaction with Simonius, Vischer & Co., and thereby succeeds to the ownership of Tract "E" (among other lands), then Telco shall dedicate a River Park to the Town of Telluride as depicted in the northerly portion of lot 47 as Tract "E". Telco shall improve and construct such River Park with appropriate landscaping which shall in the discretion of Telco be aesthetically compatible with the base facility which is to be constructed on such lot 47.

2. In the event that annexation is approved by the Town, Telco shall also dedicate for River Park the tract of land designated as "D" to the Town.

Telco agrees to construct the improvements on such River Park to conform with the general River Park plan and standards as shall be adopted by the Town and to complete such construction of improvements within one (1) year after such plan becomes finalized by the Town. In the event that the Town enters into a River Park Easement Agreement with Simonius-Vischer & Co., Telco agrees to improve such River Park pursuant to the terms of that agreement.

3. The lots depicted on Plat sheet number 2, phases A and B as lots "A" and "J", shall be reserved by Telco for development of a portal entrance to the Town and to the Telluride Ski Area. The design of such improvement shall be at the discretion of Telco, and applicable Town Boards,.

III. REAL PROPERTY TO BE ANNEXED TO THE TOWN OF TELLURIDE

A. The real property set forth as lots 48A, 48B and 34B on sheet 2, phases A and B of the Plat shall be annexed to the Town unconditionally and shall be used and governed pursuant to the terms set forth herein. In any case, at the time of annexation the permissible uses, densities, and duties of the owners of the annexed land shall not exceed the Town's commercial zoning regulations on the Town's land adjacent thereto.

B. Lot 48A shall be designated generally for a transportation corridor with associated uses.

1. Upon annexation and zoning Telco agrees to grant leasehold rights to the Town for the sole purpose of constructing facilities which shall be used for horse drawn carriage service throughout the Town. The construction of any resulting barns shall be in the aesthetic discretion of Telco subject to HPC approval and all general provisions of the Town and shall be only upon that portion of Tract 48A described as follows:

Beginning at a point from which the NW corner of said parcel bears

N 19° 48' 38" E. 4 ft.,

Thence, S 70° 11' 22" E 305.00 ft.,

Thence, S 19° 48' 38" W 30.00 ft.,

Thence, N 70° 11' 22" W 120.00 ft.,

Thence, N 19° 48' 38" E 30.00 ft.,

Thence, S 70° 11' 22" E 120.00 ft.,

To the point of beginning, containing .083 acres, more or less.

Fences and corrals shall be in the discretion of Telco. Telco shall have the

unconditional right during and subsequent to any leasehold term(s) to use such tract in order to implement and place thereon the general transportation or railroad right of way when in the discretion of Telco such implementation shall be deemed timely. Telco shall also have the right to use such tract for parking of vehicles.

2. Telco agrees to dedicate the southerly portion of such tract for a River Park to the Town which shall not exceed twenty-five (25) feet in width from the existing center line of the San Miguel River. Telco agrees to landscape and improve the River Park at such time as the Town adopts a general plan with design standards for River Park throughout the Town of Telluride along the San Miguel River.

C. Telco and the Town agree that lot 48B and 49 shall be zoned for the uses and densities as delineated on sheet 1, phases A and B and sheet 2, phases A and B of the Plat. Immediately following annexation as set forth in this Contract, Telco and the Town agree to pursue a site plan on these two tracts which shall be jointly developed by Telco and the Town. The site plan shall include utility placement, dedication of appropriate rights of way, and logical and aesthetically pleasing placement of the designated improvements. Such site plan shall constitute an amended plat and shall be recorded by Telco before such time as building permits may be issued thereon.

1. Lot 47 shall be set aside for construction of a Base Facility and shall be part of the site plan above.

2. Telco or its successors in interest may construct upon such lots 48B and 49 a total of 150 lodge units with the right to make the following substitutions: Two multi-family units in place of three lodge units; or 1200 square feet of associated commercial uses in place of one lodge unit, with a maximum commercial square footage of 25,200 square feet. The location of such units shall be set forth on the site plan as set forth above. A mix of multi-family units and lodging with associated commercial uses shall be permissible as above.

D. Employee Housing

1. The Town and Telco agree that upon Lots 48B, 49 and 47, pursuant to said site plan, Telco shall construct 170 units of employee housing. Telco agrees that such employee housing shall not be sold to a third party nor conveyed as condominium units. The employee housing shall be maintained and operated by Telco for the use of its employees and any excess units remaining after in the

opinion of Telco, its employee needs have been served, may be offered to residents and other employees residing within the Telluride region until such units have been fully rented. The Town of Telluride shall have the opportunity to lease 20% of all employee housing units as specified below.

2. Industrial Revenue Bonds. Telco agrees to actually construct such employee housing units in the event:

- (a) the Town Council adopts an inducement resolution for Industrial Revenue Bonds and actually endorses such revenue bonds for specific purpose.
- (b) The interest on such bonds shall not exceed 9% per annum.
- (c) The term of such bonds shall be 25 years or more.
- (d) The bonds shall be actually sold and the resultant financing for such housing shall be made available to Telco.
- (e) Such bonds shall represent 90% cost of any such project.
- (f) The Town and Telco understand and agree that Telco shall pledge its full faith and credit for such bonds and that the endorsement of the Town does not create any liability upon the Town beyond endorsement for public purpose.
- (g) In the event that the above contingencies are realized by the Town and Telco, Telco agrees to begin construction of such employee housing units and complete within eighteen (18) months after such monies are actually available to Telco.

3. If industrial revenue bonds are successfully obtained and sold, Telco agrees to provide the Town and its citizens a lease on 20% of all employee housing units as they are constructed. The amount of rent shall be an amount equal to the total construction costs attributable to the units leased to the Town amortized over the life of the industrial revenue bonds' at the interest rate charged for such industrial revenue bonds, plus a proportionate amount of actual expenses for the management and maintenance of such housing units, including but not limited to taxes, insurance, management fees, maintenance and repairs. For these purposes the value of the land shall be put in as zero dollars (\$0.00). A Colorado CPA shall certify construction costs, and on a yearly basis management and maintenance costs.

4. Backup Plan to Industrial Revenue Bonds. In the event that after diligent pursual of industrial revenue bonds as a means of financing employee housing, the Town and Telco fail to produce such financing within two (2) years from the recordation of this Agreement, then as a backup, beginning with the

fiscal year beginning June 1, 1981, Telco agrees to finance and construct by its own means and avenues, a minimum of ten (10) units of such employee housing per year, cumulative until the total of 170 units is ultimately reached.

Cumulative shall mean that beginning in the year of 1980, that in the absence of any construction of employee housing units by means of industrial revenue bonds, Telco shall have the obligation to construct ten (10) units per year so that the obligation beginning in the fiscal year beginning June 1, 1981, shall not only be cumulative from a year to year basis, but that any other construction of employee housing by industrial bonds or other means shall count toward such cumulative obligation on the part of Telco. Telco shall have eighteen (18) months from the date that its obligation to construct units in any given year begins to run to complete construction of such units. After any construction of employee housing units under such cumulative Telco obligation, the Town and Telco agree to continue pursuing industrial revenue bonds as a means of financing Telco's cumulative running obligation, unless such financing opportunity is then legislatively prohibited. The parties understand and agree that the Town and Telco can mutually agree to terminate or suspend Telco's obligations to construct ten (10) employee housing units per year.

5. Moderate Income Employee Rental Housing to Town. Telco agrees to provide to the Town and its citizens toward moderate employee rental housing by leasing to the Town 20% of its employee housing units as they are constructed and available for occupancy. Such lease to the Town shall be on a year-to year basis and shall be at a rental which shall be 10% less than the median rental charged for similar units by Telco to its employees occupying the remaining 80% of the employee housing units, or the fair market rental in the area, whichever is lower. The lease to the Town shall provide for the right of the Town to sublease at its discretion at a rental amount which shall not exceed the Telco median rental to its employees for similar units or the fair market rental as above. It is the intent of the Town and Telco that such units shall be rented so as to best fulfill the need for moderate income employee housing within the Town of Telluride.

6. The first thirty-four (34) units constructed shall be offered to the Town to lease pursuant to the terms herein.

7. Operation and Management of Employee Housing Units. Telco shall manage and operate all employee housing units and shall set reasonable rules and regulations for the operation thereof. In order to insure fair handling of Telco's employee's renting such housing, Telco agrees to adopt within one (1) year of this contract comprehensive employee policies which shall be set forth in an

Employee Handbook and which shall be in compliance with State and Federal law regulations governing employer/employee relationships. Such Employee Handbook shall contain and define Telco employee policy and set forth violations of such which shall be cause for termination of employment. Termination of employment for such cause or as provided by Law shall also be cause for immediate cancellation of any employee housing lease with ten (10) days to actually vacate such housing. In the event that any employee is not terminated for cause in accordance with said Employee Handbook or as provided by law and such employee is attendant within Telco employee housing, then such tenant's right to occupy shall remain in effect for at least ninety (90) days following any such notice of termination. Telco agrees to make such Employee Handbook and its rules and regulations and its form lease available to the Town for inspection when available. The Town shall have the right to make such inspection for determining compliance thereof with the conditions set forth in this Agreement.

8. These 150 commercial lodge units planned for lots 48B and 49 shall not be exempted from present or future ordinances of the Town, including parking or employee housing ordinances.

9. Telco agrees to provide a Deed of Trust on lots 48A and 48B in order to secure its obligations to provide employee housing hereunder.

E. Parking

Town and Telco agree that the Old Dump Site, lot 48B and portions of parcels 47, 48A and 49 as may be mutually agreed upon in the site plan as provided for above, shall contain a minimum of 350 parking spaces. Such parking lots shall be used by the Telluride Ski Area, Inc., in order to accomodate its skier needs in the area created by the Base Facility, the Coonskin Lift, a proposed future lift and such parking lot shall be used for any off-street parking requirements of any lodging and employee housing that may be provided in lots 47, 48A, 48B and 49. The Town and Telco mutually understand and agree that each has a need for parking areas and in some instances these needs shall be merged as a joint function. Towards that end of sharing the vehicle parking function, the Town and Telco agree:

1. That the number of parking spaces shall be increased so as to include an additional number of parking spaces to be placed on portions of lots 47, 48A and 49 as well as on lot 48B which shall fully satisfy the parking requirements emanating from the actual construction of the Base Facility, 150 lodging units or denoted substitutions, 170 units of employee housing, as

specifically described above, as well as full accomodation of the Telluride Ski Area, Inc., skier needs. If the Town or the Parking and Transportation Commission elects to pass future town-wide legislation requiring compensation for any general or selective modification of any off-street parking requirements currently in force at the time of the passage of this Contract, this compensation shall not be waived for the 150 lodging units or the denoted substitutions. In addition the parking facility shall be used for any town-wide mandatory tourist out-of-town parking as may be imposed by Ordinance of the Town or by the Parking and Transportation Commission.

2. The resultant parking lot shall always have as a first priority sufficient parking spaces available for out-of-region day skiers using the Telluride Ski Area, Inc., facilities.

3. Telco and the Town agree that the Town shall operate the resultant parking lot under the following conditions:

a. The Parking and Transportation Commission may charge for day summer visitor, overnight, or lodge parking visitors according to such reasonable rates which the Parking and Transportation Commission may set. In no case may a fee be charged to out-of-region day ski visitors.

b. The Town shall maintain the parking lot year around but in the event that Telco shall reasonably deem such maintenance as inadequate for winter ski service, and give seventy-two (72) hours notice to the Town and if such maintenance is not remedied by the Town within such seventy-two (72) hour period, Telco shall have the right to enter and maintain as necessary to facilitate ski area operation. In such event, the cost thereof shall be reimbursable to Telco, unless the Parking and Transportation Commission elects to interrupt any mandatory out-of-town parking requirement from time to time, and gives no less than seventy-two (72) hours notice to Telco.

c. The Town may construct a parking lot booth and office, lighting and appropriate landscaping at its cost. If the Town so elects Telco agrees to loan the Town money to construct such improvements, such loan not to exceed Twenty Thousand Dollars (\$20,000.00), amortized over five (5) years at 2 points over the prime interest rate.

d. Telco agrees to prepare and otherwise construct the parking lot and bridge at its expense.

e. Telco agrees to lease to the Town or its designee the real property upon which the parking lot and the horse drawn facilities are located (as set forth in paragraph III.B.1. above) for an initial term of five (5) years at \$1.00 per year. There shall be a first renewal option for five (5) years

at the same terms in favor of the Town or its designee contingent upon the Town working diligently with Telco on a plan for a non-bus transportation link between the Town and the base of the ski area on Turkey Creek Mesa. Thereafter, the Town or its designee shall have two (2) further renewal options of five (5) years each, at the same terms, on the tenth year and on the fifteenth year.

f. The revenue derived from such parking lot shall be administered and allocated by the Parking and Transportation Commission. Such revenues must be allocated towards general transportation and parking needs for the Town and the ski region. The Town may elect to fully or partially amortize the loan recited in 3(c) above from such revenues. The Town may require full or partial reimbursement from such revenues for any expenses to it that may be incurred by the costs of snow removal, surface and improvements maintenance, security patrol, attendants, or provisions for in-town public transportation.

g. In the event of any non-performance and resultant foreclosure under Section III D, 1 through 9 inclusive "Employee Housing", at the Town's option the provisions of this parking agreement may be deemed null and void.

4. If requested in the future by Telco, the Town and the Parking and Transportation Commission agree to assist Telco in a demonstration to the U.S. Forest Service that such parking needs emanating from the existence of the Coonskin Lift and any additional lifts from this general area to any portion of the Telluride Ski Area, Inc., mountain pursuant to the Forest Service permit granted to Telco, are satisfied.

5. The parties understand and agree that notwithstanding the above, Telco, the Town and other parties may in the future develop lands to the west of this parking lot for out-of-town and Base Lift parking needs. Should this eventuality be realized and mutually agreed upon, and a surface rail transportation system is implemented, and the result is the mutual agreement of Telco and the Town to abandon this parking lot, the parties then hereto agree that this land shall be used only as open space or for public recreation or any other physical facilities, or for public trail or horse drawn systems.

F. The owners of lot 34B shall have the right to construct thereon forty-five (45) lodging or multi-family units or thirty-nine (39) multi-family or lodging units with 7,200 sq. feet of associated commercial uses. Lot 34B at the option of Telco and the successors in interest to lot 34B may become part of lot 34 as an assemblage thereof. In such event, the permitted densities set forth above for lot 34B shall be added, without reduction or limitation to

the densities permitted for lot 34 as shown on sheet 1 of the Plat.

G. The lots and/or parcels of land as depicted on the Plat attached to the Annexation Petition and as described on lots 48A, 48B and 34B as shown and described on sheet 1 and 2, phases A and B of the Plat, shall after adoption of the Annexation Ordinance and this Contract by the Town Council, Town of Telluride be and become part of the Municipal limits of the Town of Telluride, and the annexation map thereafter shall be recorded with the County Clerk and Recorder, San Miguel County, and appropriate State of Colorado agencies, as required by Statute, as part of the Official Plat of the Town of Telluride. The Town agrees to finally approve commercial zoning and platting as shown in phase B of the Plat for the land so annexed promptly following approval of annexation. In the event that the Town Council fails to adopt such annexation ordinance and this Contract on or before June 29, 1979, Telco may at its option withdraw this Contract, the Annexation Petition and the Associated Plat and they shall have no further effect nor standing between these parties.

H. Base Facility shall be an improvement the use of which may be dedicated to any use and purpose permitted within the current commercial zone including but not limited to retail sales, businesses, restaruant and bar operations, office space, ski school, meeting rooms, emergency medical vehicles, nursery and other such uses and activities associated with the operation of a ski area.

I. The Town and Telco hereby acknowledge Appendix 2 which is attached hereto and incorporated herein, which is a letter dated June 14, 1979 to Jack Hunter, Chairman of the Board of the Telluride Lodge Association. Telco agrees to perform the terms, the conditions set forth in such letter upon acceptance by the Telluride Lodge Association as set forth therein.

IV. SEVERABILITY AND AMENDMENT

A. This Contract shall not be revoked, modified or amended except upon written agreement of the Town, Telco, and Simonius, Vischer & Co.

B. Invalidity or unenforceability of any other provision of this instrument in whole or in part shall not affect the validity or enforceability of any other provision or any of the valid enforceable parts of a provision of this Contract, or parts thereof, shall continue unimpaired and in full force and effect. Failure to enforce any provision of this instrument shall not operate as a waiver of

any such provision of this instrument shall not operate as a waiver of any such provision or of any other provision of this instrument.

V. Town and Telco understand and agree that in the future the Town may zone the Backman Village Subdivision to be included in an Accomodations Zone District, providing however that all densities set forth herein shall not be reduced including numbers of units and allowable commercial square footage, as set forth herein and on the Plat. Such Accomodations Zone District may require at the discretion of the Town a review of types and kinds of commercial uses which may be permitted within such commercial square footage. Uses permitted shall be all uses associated with skiing and other compatible tourist commercial uses.

VI. The Telluride Company affirms its voluntary offer to move the Court for dismissal, with prejudice, of all causes of action by the Telluride Company, as a Plaintiff against all named defendants, in Civil Action No. 78-CU-7 District Court, San Miguel County, Colorado, styled as the Telluride Company, et al, Plaintiff vs. Terry J. Starr, et al. Defendants.

IN WITNESS WHEREOF the Parties have set their hands in seals on the date immediately following their signature:

I, Ronald Allred, President and Chairman of the Board of Directors of the Telluride Company and President and Chairman of the Board of the Telluride Ski Area, Inc. personally guarantee the performance of this Contract by the Telluride Company.

June 29, 1979
Date

Ronald D. Allred
Ronald Allred

THE TELLURIDE COMPANY, A Colorado Corporation

Attest: Roberta Peterson date 6-29-79 BY: Ronald W. Allred date 6-29-79
 Roberta Peterson,
 Assistant Secretary
 Ronald Allred, President and
 Chairman of the Board of the
 Telluride Company

Approved and Accepted:

TOWN OF TELLURIDE, a Home Rule Body Politic,
by its duly elected Town Council

by: Gerald W. Race date 6/29/79
 Gerald W. Race, Mayor
 Town of Telluride

Randall A. King date 6-29-79
 Randall A. King
 Town Manager
 Town of Telluride

Attest: Carolyn S. Shaw date 6-29-79
 Carolyn S. Shaw, Town Clerk
 Town of Telluride

(seal)

